

Also, structure your mortgage payments so they're lined up with your paycheck and are automatically withdrawn.

I also recommend that you make biweekly payments. It will have you making an extra mortgage payment every year without even feeling it, and it could shave more than three years off the average twenty-five-year mortgage, saving you thousands in the long run. If you're currently making monthly payments, switching to biweekly is just a phone call away. And it's usually free. You aren't renegotiating your mortgage, after all, just changing the way you pay it.

How will you pay down that principal? You will apply every windfall to your mortgage. That means raises, tax returns, bonuses, inheritances—all of it goes to paying down the maximum principal allowed. And finally, round up your payments. I like lots of zeros (when they come after other big digits, of course). Are you paying a mortgage of \$766 every two weeks? Why not make it an even \$800? It seems like a simple thing to do, but over time, this little trick will have a huge impact on your overall savings. It just takes a phone call to your bank.

Money Mistake: You Think Home Renovation Is an Investment

THE FIX: RENOVATE STRATEGICALLY

I can't mention home ownership without addressing the number-one reason people struggle to pay down their mortgages: badly planned, poorly timed renovations. Americans love to renovate. Home renovation is one of the fastest-growing industries in the market. In 1999, it was a \$180 billion industry. In 2007, it reached a peak of \$326 billion. Home renovation dipped after the housing crisis, but today it is still a thriving \$279 billion industry. Even more remarkable: Remodeling accounts for about 70 percent of residential spending. Partly, this is because houses are expensive, so people are hunkering down and improving their own nests and castles. But high prices also mean lots of speculation. People are renovating and flipping homes in the hope of making a buck on the margins. That's a risky gambit. So